

# THE BUZZ

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## CLIPPED INFLUENCE

**'Finfluencers' have amassed millions of followers. They are now firmly on the radar of markets regulator Sebi**

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► **IT WAS A** long time coming. Financial influencers, or 'finfluencers' in market parlance, had been under the scanner for a while. Government officials and regulatory bodies—across the globe—had thought long and hard on ways to regulate the actions of these individuals as some of them had assumed cult status with millions of followers on social media platforms.

Besides, the regulators had to act fast to ensure that unsuspecting investors would not end up losing money because of biased or unfair advice or recommendations.

Finally, capital markets regulator Securities and Exchange Board of India (Sebi), on May 25 sent a strong signal to finfluencers. It barred P.R. Sundar, a finfluencer with over a million followers on YouTube, from the securities markets for a year for allegedly providing advisory services—daily stock investment/trading calls—without registering with the regulator. He was also directed to disgorge the fees that he had taken—along with interest—that amounted to ₹6.08 crore.

Simply put, a finfluencer is a person who influences the financial investment decisions of his/her followers by doling out advice or recommendations. Such advice could be for stock investment, financial planning, or just about anything related to the manner in which one should invest his or her money.

### CULT STATUS

The Sebi order assumes a great deal of significance as the past few years—starting from 2020—have seen finfluencers attain cult status with some of the most popular ones boasting of followers in the millions.

Take for instance Pranjal Kamra, who has 5.22 million followers on YouTube. Similarly, Pune-based Rachana Ranade, a chartered accountant by training, has 4.41 million followers.

Mukul Malik, Parimal Ade, Ankur Warikoo, Sunil Minglani, Praveen Dilliwalla and Nitin Bhatia, among others, also feature among the top finfluencers on YouTube, even though some of them have veered towards providing broader life lessons and motivational videos as well, rather than restricting themselves to dishing out investment advice.

Interestingly, the number of followers of some of the well-known finfluencers even dwarfs the numbers of followers of some

